

MEET LAURA GAO

Storyteller, Entrepreneur, and Creative Visionary



You are a team of young analysts working at an asset management company.

Your portfolio manager (your team's teacher/advisor who makes the final investment decisions for your firm's portfolio) recently met with a potential client, Laura Gao, a bestselling author, illustrator, entrepreneur, and educator, who is planning the next chapter of her career. Laura has built a successful creative business by turning ideas into opportunities, and she is now seeking thoughtful financial planning to help her achieve her long-term goals.

Your team hopes to develop the investment strategy that Laura ultimately chooses as she works toward achieving her future vision.

Introducing Laura Gao

Laura Gao believes stories have the power to change how people see the world.

Born in Wuhan, China, and raised in Texas, Laura is a bestselling graphic novelist, illustrator, entrepreneur, and educator whose work explores identity, belonging, and the power of storytelling. While studying at the Wharton School, she combined her passion for creativity with an entrepreneurial mindset and launched a small business. She graduated in 2018 with a degree in Statistics & Information Decisions Management before beginning her career as a product manager in the technology industry.

In 2020, Laura published *The Wuhan I Know*, a comic inspired by her personal experiences during the COVID-19 pandemic. Originally intended as a response to misinformation and anti-Asian racism, the comic resonated with readers worldwide and ultimately inspired her bestselling graphic memoir, *Messy Roots*. Today, her books are read in classrooms around the world and have sparked conversations about identity, belonging, and community.

Although Laura's career began in business and technology, she has always approached creativity with an entrepreneurial mindset. As an author, illustrator, educator, and public speaker, she has combined artistic passion with strategic thinking and a willingness to pursue unconventional opportunities.

That philosophy continues to guide Laura as she considers what comes next.

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*The only person who
needs to believe in
something is yourself.*

Looking Ahead

Laura has no shortage of ideas for the future. As she considers the next chapter of her career, she recognizes that achieving ambitious goals requires more than creativity alone. Thoughtful financial planning and long-term investing will play an important role in turning those ideas into reality. Working with your portfolio manager, Laura has identified several long-term financial objectives that reflect both her entrepreneurial mindset and her passion for innovation.

Laura's Financial Goals

At the beginning of 2027, Laura plans to invest \$300,000 with an asset management firm. She will contribute an additional \$150,000 at the beginning of 2028, using earnings from publishing advances, speaking engagements, licensing, and other entrepreneurial ventures.

For purposes of the competition, teams should use the following timeline. Year 0 is 2026, the present, before any money has been invested.

- 2026 is Year 0.
- 2027 is Year 1.
- 2028 is Year 2.
- 2031 is Year 5.
- 2033 is Year 7.

Any year not listed follows the same pattern: subtract 2026 from the calendar year to get its year number. All contributions and withdrawals occur at the beginning of the applicable year. The ten operating payments are therefore spaced exactly one year apart.



Laura's living expenses and short-term financial needs will be covered by income and financial resources outside the portfolio. Apart from the two contributions described above, she will neither add to nor withdraw from the portfolio before 2033. The portfolio should therefore be managed to support the goals described below.

Laura understands that investing involves uncertainty and periods of market volatility. Although she has been willing to take thoughtful risks throughout her entrepreneurial career, she wants her investment team to recommend an appropriate balance between pursuing growth and protecting the capital required for her goals.

The Creative Residency

In 2033, Laura plans to establish a collaborative creative residency in Taiwan. She envisions a small, community-oriented space where artists, writers, designers, entrepreneurs, and educators can temporarily live, work, teach, and collaborate.

Establishing the residency will require funding for the facility as well as reliable support for its early operations. The investment portfolio must fund the operating commitment described below and may also cover part of the facility's cost. Any remaining facility cost, and any operating support beyond Laura's commitment, may come from co-sponsors, grants, collaborators, program fees, continued business income, or other sources.

Operating Commitment

Laura will make ten annual payments of \$50,000 toward the residency's operating expenses, one at the beginning of each year from 2033 through 2042.

For purposes of the competition, each payment is a fixed \$50,000 and is not adjusted for inflation.

All ten payments must be funded by the investment portfolio with a high degree of certainty. Teams may not rely on co-sponsors, grants, program fees, or other outside funding to meet this requirement. Funding the residency beyond the final payment in 2042 is outside the scope of the competition.

At the beginning of 2033, before making the first operating payment or contributing to the facility, Laura will set aside a portion of the portfolio to fund the ten payments. This set-aside is called the operating reserve. Teams must recommend its size and initial asset composition and explain how its composition should change, if at all, as the annual payments approach and are made. They should also define what they consider a high degree of funding certainty, explain how they evaluated that level of certainty, and identify the assumptions supporting their recommendation.

Facility Contribution

After establishing the operating reserve in 2033, Laura must decide how much of the remaining portfolio she can responsibly contribute toward the cost of establishing the residency facility. She recognizes that committing all remaining assets could limit her financial flexibility as the project develops.

There is no predetermined facility contribution. Teams must recommend and justify the extent to which Laura can responsibly contribute, based on their investment strategy, projected portfolio outcomes, assumptions, and understanding of her goals. Teams are not expected to determine the size or investment composition of a separate contingency fund or endowment.

Communicating with Co-Sponsors

Laura plans to begin approaching potential co-sponsors in 2031, two years before the residency is established. At that time, she will need to describe how much she expects to contribute toward the facility in 2033. A meaningful personal contribution may signal that the residency is financially viable, demonstrate Laura's commitment to the project, and make potential co-sponsors more willing to contribute. In 2031, however, the value of her portfolio in 2033 remains uncertain.

If Laura promises more than she can ultimately contribute, she could damage her credibility and lose the confidence or participation of co-sponsors. Rather than promising one exact amount, she wants to communicate a credible range for her potential contribution.

Teams must recommend the dollar range Laura should communicate and state how confident they are that her 2033 contribution will fall within that range. They should explain how favorable and unfavorable market outcomes could affect the amount she can provide. The proposed range must also protect the portfolio's ability to fund the ten-year operating commitment.

Each team must also draft part of Laura's fundraising materials describing this potential contribution for prospective co-sponsors.

Developing Laura's Investment Strategy

There is no single correct strategy for achieving Laura's goals. Teams may reach different conclusions about risk, asset allocation, liquidity, return expectations, funding confidence, the facility contribution, and the financial flexibility Laura should preserve.

The WInS portfolio represents each team's implementation of its investment strategy during the competition. It does not determine Laura's actual portfolio value at the beginning of 2027. For long-term projections, teams should begin with Laura's \$300,000 investment in 2027, add the \$150,000 contribution in 2028, and use reasonable return assumptions consistent with their strategy. Gains or losses generated during the WInS trading period should not be added to or subtracted from Laura's portfolio projections.

Each team must develop and justify an investment strategy that:

- Supports the ten-year operating commitment with a high degree of certainty.
- Determines a responsible facility contribution for the residency.
- Addresses how investment uncertainty could affect both the operating commitment and the facility contribution.
- Communicates Laura's potential facility contribution to co-sponsors clearly and credibly.
- Preserves appropriate financial flexibility when determining the facility contribution.

Teams should identify and explain their assumptions about investment performance, the timing of cash flows, outside funding, the effect of inflation on portfolio projections and facility costs, and the financial flexibility Laura should preserve. They should also consider how favorable and unfavorable investment outcomes would affect their recommendations.

Teams will demonstrate their work through three connected deliverables:

- **Trading Notes Analysis.** This shows how selected investment decisions reflected, tested, or refined the team's developing strategy.
- **Investment Policy Statement.** This formally establishes the strategy and the team's decision-making framework.
- **Final Report.** This evaluates how that strategy was implemented and presents the team's analysis and recommendations for Laura's operating commitment, facility contribution, financial flexibility, and communication with co-sponsors.

Evaluators will consider the three deliverables together. Teams should use each deliverable for its intended purpose while maintaining a clear and consistent investment strategy across all three. Detailed Final Report requirements will be released at the beginning of Week 7.

The total cost of the facility has not been determined. Teams are not expected to estimate that cost, prepare a construction budget, determine the project's total funding gap, or develop a detailed business plan for the residency. Their primary focus should remain on the investment strategy and how much the portfolio can responsibly provide toward Laura's goals.

For purposes of the competition, teams do not need to account for personal income taxes, capital gains taxes, or the legal and regulatory requirements of establishing a residency in Taiwan.